

holding uncorrelated assets, I can improve my return/risk ratio by a factor of five through diversification.

What about the problem of markets becoming highly correlated? As we sit here today, if you tell me that the S&P is down 2 percent, I can tell you the direction of virtually every other market.

I don't think that's correct.

Really, you don't think that's true?

I think that's only true because of the way you are defining markets. For example, I can't tell you which way the Greek/Irish bond spread would move in response to the S&P being down. There are ways to structure your trades so that you can produce a whole bunch of uncorrelated bets. You have to start with your goal. My goal is that I want to trade more than 15 uncorrelated assets. You are just telling me your problem, and it's not an insurmountable problem. I strive for approximately 100 different return streams that are roughly uncorrelated to each other. There are cross-correlations that enter into it, so the number works out to be less than 100, but it is well over 15. Correlation doesn't exist the way most people think it exists.

What do you mean by that?

People think that a thing called *correlation* exists. That's wrong. What is really happening is that each market is behaving logically based on its own determinants, and as the nature of those determinants changes, what we call correlation changes. For example, when economic growth expectations are volatile, stocks and bonds will be negatively correlated because if growth slows, it will cause both stock prices and interest rates to decline. However, in an environment where inflation expectations are volatile, stocks and bonds will be positively correlated because interest rates will go up with higher inflation, which is detrimental to both bonds and stocks. So both relationships are totally logical, even though they are exact opposites of each other. If you try to represent the stock/bond relationship with one correlation statistic, it denies the causality of the correlation.